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China Economics

Still Weak Credit Demand Amid PBoC Policy Caution

CITI'S TAKE

Credit data in July came in mixed. Government bond supported new TSF, but corporate credit demand stayed subdued, and household deleveraging continued. This doesn't bode well for a pickup in investment or consumption in the near term. We see increasing risks that the PBoC will delay an outright rate cut further. The central bank appears to [prefer reforms](#), as *de facto* rate cuts continued with corporate loan rates now below 3% even in the absence of a formal cut. [Actions from the MoF](#), including fiscal funds deployment and mortgage subsidies, are now more important to watch.

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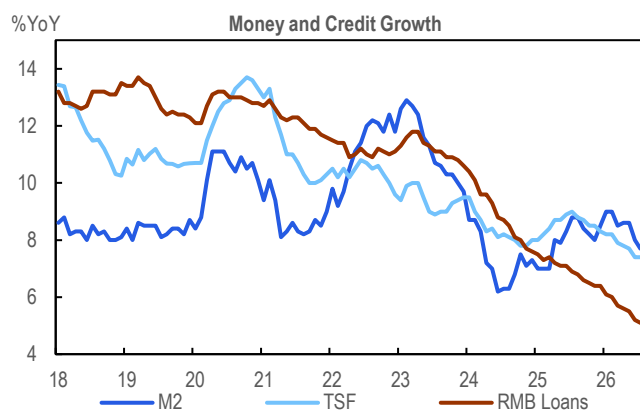
New credit came in mixed in the low season of July. New Total Social Financing (TSF) came in at RMB1,406bn, above expectations (Citi/Mkt: RMB1,000/1,085bn) and last July's number of RMB1,131bn. New RMB loans recorded a contraction of -RMB340bn (Citi/Mkt: RMB-200/-100bn) amid China's transition of financing structure. By major sectors:

- **Government** bond financing remained the most important support for new TSF. The monthly reading hit RMB1,320bn, the second highest within the year as issuance accelerates. Funds deployment may not have accelerated much, however, with fiscal deposits increasing RMB979bn in July, RMB204bn higher compared with the average in the past three years. Compounded with stricter taxation, the reversal of fiscal austerity may be yet to kick in, weighing on an investment rebound in the short-term.
- **Corporate** credit demand stayed subdued. Corporate long-term loans contracted -RMB230bn (vs. -RMB260bn last July) while bond financings came in at RMB454bn (vs. RMB275bn). The combined long-term borrowing was sluggish at RMB224bn, better than last July's RMB15bn driven by the anti-involution campaign but still below the average of RMB392bn for July during 2022-24. Short-term borrowing and off-balance sheet financing fluctuated with limited combined impact on the headline number.
- **Household** deleveraging continued. Household long-term loans dropped -RMB120bn (vs. -RMB110bn) and short-term loans contracted -RMB340bn (vs. -RMB340bn), changing little from last year and not boding well for consumption recovery. Their deposits reallocation seems to have taken a halt in July amid market volatility: they withdrew RMB630bn deposits in the month, lower than the average of RMB750bn in the past three years, the first instance of deceleration within the year. Meanwhile, NBFI deposits rose RMB1.1trn, still a solid reading, but lower than last year's RMB2.4trn in July. The asset reallocation thesis could still be intact in our view even amid market volatility as new A-share accounts at SSE remained solid in July.

Growth of outstanding credit stabilized with the small beat in new TSF. TSF growth was steady at 7.4%YoY in July, while growth of outstanding RMB loans dipped to 5.1%YoY amid the transition of the financing system. M1 growth was steady at 4.0%YoY (Citi/Mkt: 4.0/3.9%YoY, Prior: 4.0%YoY), while M2 growth moderated to 7.7%YoY, the lowest rate since April 2025 (Citi/Mkt: 8.0/7.9%YoY, Prior: 8.0%YoY) partially on a higher base. Yet lower-than expected M2 growth could also serve as another confirmation for still-lagging fiscal funds deployment post bond issuance.

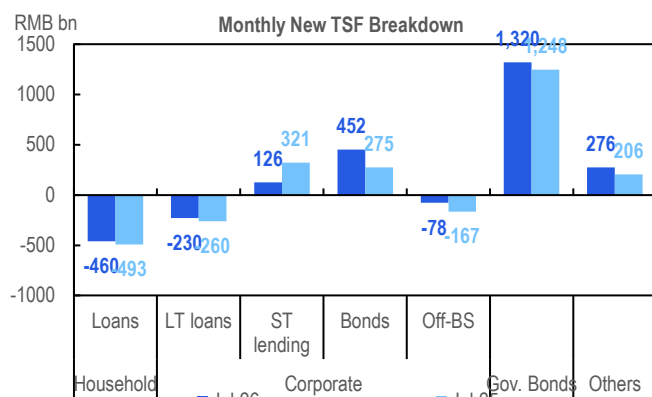
The PBoC's focus is likely on interest rate reform. We now see increasing risks for an outright rate cut to be delayed further. Even in the absence of a formal rate cut, loan rates continued to decline with the July average rate of corporate loan rates now below 3% ([Xinhua](#), Aug 14th), further lower compared with 3.05% in June as the PBoC documented in its MPR for 26Q2. Credit demand could have been satisfied amid declining loan rates per China's *Financial Times*, a news agency closely related with the PBoC ([Sina](#), Aug 14th). The PBoC could also prefer reforms to an outright cut at this juncture as it signals in the MPR. Actions from the MoF are more important to watch, including fiscal funds deployment and extension of interest subsidies to mortgage.

Figure 1. TSF growth stabilized at a low rate in July with new TSF supported by government bonds



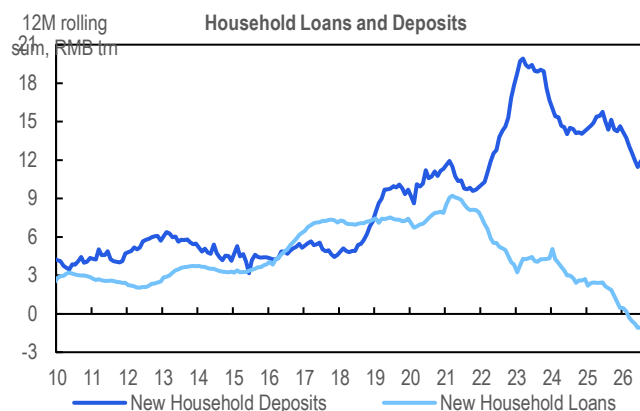
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Figure 3. Household deleveraging continued, while corporate credit demand stayed subdued



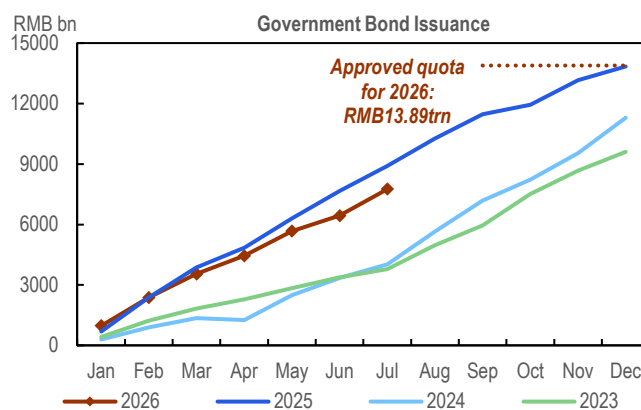
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Figure 5. Deposits reallocation of households could have taken a halt in July amid market volatility



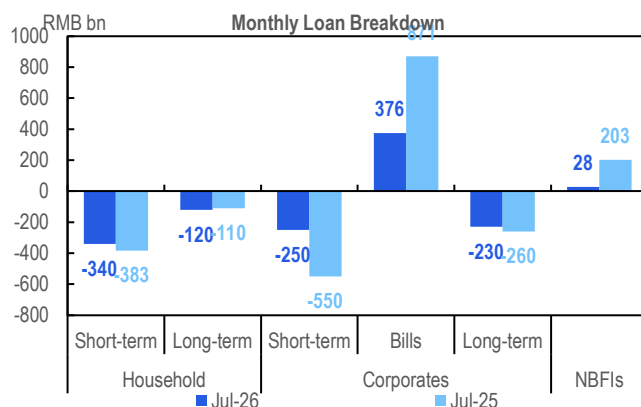
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Figure 2. Acceleration in government bond issuance was the primary support for new TSF in July



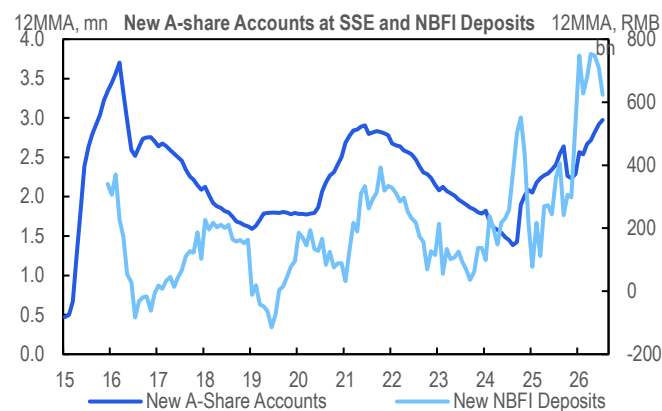
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Figure 4. It could be particularly the case for new RMB loans, which recorded another contraction as expected



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Figure 6. New A-share account opening at SSE remained solid though



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